

AUROBINDO PHARMA

RESULT UPDATE

KEY DATA

Rating	BUY
Sector relative	Outperformer
Price (INR)	1,450
12 month price target (INR)	1,680
52 Week High/Low	1,550/1,016
Market cap (INR bn/USD bn)	900/9.3
Free float (%)	48.2
Avg. daily value traded (INR mn)	2,139.6

SHAREHOLDING PATTERN

	Mar-26	Dec-25	Sep-25
Promoter	51.82%	51.82%	51.82%
FII	15.24%	13.95%	14.21%
DII	25.87%	27.68%	27.6%
Pledge	23.65%	17.5%	17.5%

FINANCIALS

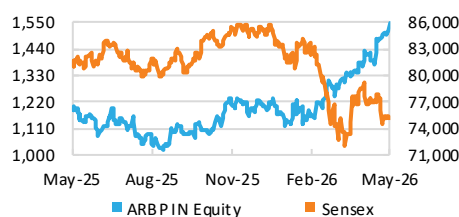
(INR mn)

Year to March	FY25A	FY26A	FY27E	FY28E
Revenue	3,17,237	3,36,531	4,00,724	4,26,443
EBITDA	66,054	68,558	85,093	92,545
Adjusted profit	34,859	35,498	49,098	52,837
Diluted EPS (INR)	60.0	61.1	84.5	91.0
EPS growth (%)	5.2	1.8	38.3	7.6
RoAE (%)	11.2	9.9	12.2	11.7
P/E (x)	24.2	23.7	17.2	15.9
EV/EBITDA (x)	13.2	12.4	9.8	8.5
Dividend yield (%)	0	0.1	0.2	0.2

CHANGE IN ESTIMATES

	Revised estimates		% Revision	
Year to March	FY27E	FY28E	FY27E	FY28E
Revenue	4,00,724	4,26,443	5.4%	6.5%
EBITDA	85,093	92,545	4.0%	6.4%
Adjusted profit	49,098	52,837	5.5%	5.4%
Diluted EPS (INR)	84.5	91.0	5.5%	5.4%

PRICE PERFORMANCE



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Cautious margin commentary

Aurobindo reported in-line revenue/EBITDA, but a 5% miss on PAT on consensus estimate. Gross margin was better than our estimate, while EBITDA margin was broadly in-line. The weak US growth was offset by strong growth in Europe and growth markets.

We remain optimistic on Aurobindo's growth/margin prospects as the company is nearing an inflection point of operating leverage in Pen-G and TheraNym CMO unit. Aurobindo is also set to benefit from growth in Europe and Lannett closure. We build in revenue/EBITDA/PAT CAGR of 13%/16%/22% over FY26–28E. We retain BUY rating with a TP of INR1,680 (earlier INR1,440). Our TP includes INR93/INR41 per share value for Lannett and Adquey. At CMP, stock trades at 16x FY28E EPS.

Mixed results with PAT miss and improved gross margin

Aurobindo's revenue grew +6% YoY/+2% QoQ to INR88.5bn. Gross margin at 61.3% was 167bp ahead of our estimate. EBITDA was flat YoY/+2% QoQ at INR18bn while EBITDA margin stood at 20.3%. Revenue, EBITDA and margin were broadly in line with consensus. Staff cost grew 18% YoY (3% ahead of our estimate) while other expenses (ex-R&D) grew 17% YoY. R&D spend fell 5% YoY/2% QoQ to INR4bn (6% below our estimate). PAT grew 2% YoY to INR9.2bn which was 5%/9% below consensus/our estimate as depreciation moved up 8% YoY and other income declined 5% YoY. US performance (-18% YoY to USD387mn) was impacted by weak seasonality; Europe/growth markets grew 11% /18% YoY in CC terms.

Lannett closure, Pen-G profitability and Bio CMO FY27E influencers

ARBP's European revenue was >EUR1bn in FY26; it is further set to grow in double digit (likely in mid-teens) in FY27E. The US business is expected to move past USD2bn (we think USD2.1–2.2bn) within two years owing i) Lannett closure (Q2FY27E), ii) Adquey ([Read Update](#)) and iii) new launches. Eugia III clearance would push this number a bit higher. Pen-G unit turned EBITDA positive in Q4 and it is now due for operating leverage. Pen-G business can start contributing substantially (INR5–10bn external sales and gross margin benefit in FY27E). TheraNym's 60kL CMO unit is commissioning by end of CY26 and company is also setting up CMO 2 unit for MSD.

Cautious margin commentary, building in 22% PAT CAGR

Considering above opportunities and the forex tailwind, we think Aurobindo (ex-Lannett) should see 17% YoY growth in FY27E. Management appeared cautious on the margin trajectory and accordingly we are building in 21.2%/21.7% margin in FY27E/28E and 22% PAT CAGR over FY26–28E. Retain 'BUY'.

Financials

Year to March	Q4FY26	Q4FY25	% Change	Q3FY26	% Change
Net Revenue	88,533	83,821	5.6	86,459	2.4
EBITDA	18,009	17,919	0.5	17,733	1.6
Adjusted Profit	9,213	9,035	2.0	9,547	(3.5)
Diluted EPS (INR)	15.9	15.6	2.0	16.4	(3.5)

Financial Statements

Income Statement (INR mn)

Year to March	FY25A	FY26A	FY27E	FY28E
Total operating income	3,17,237	3,36,531	4,00,724	4,26,443
Gross profit	1,86,975	2,01,647	2,39,351	2,58,425
Employee costs	44,756	51,902	59,687	65,656
R&D cost	16,220	15,900	19,235	20,687
Other expenses	59,944	65,288	75,336	79,536
EBITDA	66,054	68,558	85,093	92,545
Depreciation	16,494	17,782	20,619	23,018
Less: Interest expense	4,572	3,840	3,680	3,400
Add: Other income	6,219	4,921	6,371	6,267
Profit before tax	50,889	51,872	67,049	72,278
Prov for tax	15,827	16,089	17,956	19,446
Less: Exceptional item	0	(653)	0	0
Reported profit	34,859	35,047	49,098	52,837
Adjusted profit	34,859	35,498	49,098	52,837
Diluted shares o/s	581	581	581	581
Adjusted diluted EPS	60.0	61.1	84.5	91.0
DPS (INR)	0	2.0	2.5	2.5
Tax rate (%)	31.1	31.0	26.8	26.9

Important Ratios (%)

Year to March	FY25A	FY26A	FY27E	FY28E
Gross margin	58.9	59.9	59.7	60.6
R&D as a % of sales	0	0	0	0
Net Debt/EBITDA	(0.4)	(0.7)	(0.8)	(1.2)
EBITDA margin (%)	20.8	20.4	21.2	21.7
Net profit margin (%)	11.0	10.5	12.3	12.4
Revenue growth (% YoY)	9.4	6.1	19.1	6.4
EBITDA growth (% YoY)	13.0	3.8	24.1	8.8
Adj. profit growth (%)	5.2	1.8	38.3	7.6

Assumptions (%)

Year to March	FY25A	FY26A	FY27E	FY28E
GDP (YoY %)	6.0	6.2	6.2	6.2
Repo rate (%)	6.0	5.0	5.0	5.0
USD/INR (average)	84.6	87.5	87.0	88.0
US generics (USD mn)	1,752.0	1,632.0	1,791.7	1,827.0
API (USD mn)	511.3	457.3	469.8	482.8
Europe growth (%)	15.5	9.1	13.0	13.0
Growth markets Growth (%)	23.4	4.8	3.0	4.0
ARV growth (%)	16.8	27.4	6.0	6.0
Capex (USD mn)	232.6	306.9	447.4	301.4

Valuation Metrics

Year to March	FY25A	FY26A	FY27E	FY28E
Diluted P/E (x)	24.2	23.7	17.2	15.9
Price/BV (x)	2.6	2.2	2.0	1.8
EV/EBITDA (x)	13.2	12.4	9.8	8.5
Dividend yield (%)	0	0.1	0.2	0.2

Source: Company and Nuvama estimates

Balance Sheet (INR mn)

Year to March	FY25A	FY26A	FY27E	FY28E
Share capital	581	581	581	581
Reserves	3,25,952	3,78,329	4,25,975	4,77,360
Shareholders funds	3,26,533	3,78,910	4,26,556	4,77,940
Minority interest	(64)	(82)	(82)	(82)
Borrowings	82,629	76,762	63,971	71,679
Trade payables	41,889	55,673	55,265	57,541
Other liabs & prov	43,348	59,043	50,047	52,928
Total liabilities	4,97,850	5,85,022	6,10,473	6,74,722
Net block	1,18,950	1,39,552	1,40,933	1,39,915
Intangible assets	42,387	52,814	62,507	64,591
Capital WIP	32,660	30,088	38,069	40,512
Total fixed assets	1,93,997	2,22,454	2,41,509	2,45,018
Non current inv	2,517	1,950	4,408	4,691
Cash/cash equivalent	1,09,020	1,25,492	1,30,435	1,82,633
Sundry debtors	57,459	70,944	68,068	71,269
Loans & advances	156	179	178	189
Other assets	1,31,655	1,57,262	1,59,881	1,64,929
Total assets	4,97,850	5,85,022	6,10,473	6,74,722

Free Cash Flow (INR mn)

Year to March	FY25A	FY26A	FY27E	FY28E
Reported profit	34,859	35,047	49,098	52,837
Add: Depreciation	16,494	17,782	20,619	23,018
Interest (net of tax)	4,404	3,523	3,680	3,400
Others	(4,066)	(2,728)	111	111
Less: Changes in WC	(12,445)	1,639	(9,146)	(3,103)
Operating cash flow	39,246	55,264	64,361	76,263
Less: Capex	(19,679)	(26,858)	(38,927)	(26,527)
Free cash flow	19,568	28,406	25,435	49,736

Key Ratios

Year to March	FY25A	FY26A	FY27E	FY28E
RoE (%)	11.2	9.9	12.2	11.7
RoCE (%)	14.4	12.9	15.0	14.6
Inventory days	285	306	279	277
Receivable days	61	70	63	60
Payable days	121	132	125	123
Working cap (% sales)	33.7	34.7	31.4	30.2
Gross debt/equity (x)	0.3	0.2	0.2	0.2
Net debt/equity (x)	(0.1)	(0.1)	(0.2)	(0.2)
Interest coverage (x)	10.8	13.2	17.5	20.4

Valuation Drivers

Year to March	FY25A	FY26A	FY27E	FY28E
EPS growth (%)	5.2	1.8	38.3	7.6
RoE (%)	11.2	9.9	12.2	11.7
EBITDA growth (%)	13.0	3.8	24.1	8.8
Payout ratio (%)	0	3.3	3.0	2.7

Q4FY26 conference call: Key takeaways

Guidance

- **US revenue:** Aims to scale US business to USD2bn over couple of years, supported by new launches, acquisitions, pipeline expansion across oral, transdermal and respiratory products from Dayton and Raleigh facilities. US quarterly base revenue of ~USD400mn is sustainable, excluding acquisitions and seasonality impacts.
- **Lannett:** Deal closure by Q2FY27E. **Adquey:** launch in Q2FY27E.
- **Europe:** Europe business to deliver double-digit growth in FY27E, although Aurobindo remains conservative given geopolitical backdrop.
- **China unit:** China facility expected to turn EBITDA profitable in FY27E (targeting low double-digit EBITDA margin).
- **Specialty/injectable:** Specialty injectables base business (ex-gRevlimid) to sustain double-digit growth, aided by upcoming launches and improved regulatory clearances.
- **Pen-G Unit:** Production to exceed 10,000 metric tonnes at >80% capacity utilisation, providing visibility for revenue growth, profitability improvement, cash flow generation.
- **FY27 EBITDA margin guidance:** >21% (factors in both currency benefits and raw material inflation).

US business

- FTC approval for Lannett expected by early Q2FY27E, delayed due to 76-day US government shutdown between Feb to Apr 2026. FY27 will likely see only a partial contribution from Lannett.
- Drug repurposing/repositioning not part of Aurobindo's priorities as of now, although it continues to monitor the space closely.
- Will launch Adquey in Q2FY27E, all preparatory activities currently underway. Dedicated infrastructure and field force are built for the launch given the competitive nature.
- Q2 and Q3 are typically strongest quarters, with Q4 generally witnessing seasonal softness.
- No M&A in near term, though in-licensing deals, ANDA acquisitions and business development initiatives remain key focus areas in US.

Biosimilars

- To file Omalizumab, Denosumab and Bevacizumab in US during CY26. By 2030, Aurobindo expects to have seven–eight biosimilar products commercialized across Europe and growth markets, along with two–three products in the US.
- Omalizumab remains a USD2–2.2bn opportunity even after competition. Aurobindo expected to be among the first-wave entrants alongside three–four players.

- First wave of launches remains commercially viable despite competition, aided by strong COGS and focus on products with longer lifecycle opportunities such as pegfilgrastim and subcutaneous trastuzumab.
- Price erosion assumptions in US: ~60% and Europe: 75–80%, while still expecting healthy profitability supported by scale and manufacturing efficiencies.
- Gross margins are at 65–70% initially and improve towards 75% as portfolio mix evolves towards differentiated and retail-focused products such as denosumab and omalizumab.
- Investment in biosimilars stands at ~USD450mn since 2018, including capex and opex, resulting in multiple EU and Health Canada approvals along with additional filings.
- It remains in early phase of commercialization, with supplies initiated across select EU markets and Latam. STADA partnership is expected to start contributing meaningfully from CY27 onwards.
- Biologics profitability is dependent on optimizing yields and capacity utilization. At 4–6 gm/L yields and capacities of 2,500–5,000L bioreactors, biologics manufacturing remains attractive even under price erosion scenarios.
- **CDMO:** Aurobindo is building one of India's largest mammalian cell culture capacities (~120KL), positioning as a biologics CMO before transitioning into a multi-customer CDMO by 2032. The first unit is set to open by end of 2026.
- Biologics CMO greenfield facility investments: ~USD175mn.
- Current biologics strategy is centred around anchor customer relationships, particularly with (MSD), to establish execution credibility before expanding into broader multi-client model.

Europe/China/growth markets

- Europe growth is driven by stronger market understanding, execution, supply-chain improvements, faster order turnaround, portfolio expansion, and better market penetration despite regulatory complexities.
- Europe remains a key growth engine, supported by portfolio expansion, improving market penetration, reliable supply capabilities, and stronger customer relationships.
- CDMO Unit-1 commissioning remains on track by end-CY27, with 60KL capacity installation and validation batches scheduled. Customer filings also expected in CY27, with stockpiling likely and revenue contribution expected from CY28 onwards.
- Recently signed Product Schedule-3 pertains to greenfield drug substance facility under Unit-2. Commissioning is expected by CY29, with revenue contribution likely from CY31.

Pen-G unit

- Pen-G and 6-APA operations turned EBITDA positive in Q4FY26, aided by operating leverage and improving yields. It incurred ~INR2bn EBITDA loss in FY26.
- External supplies of Pen-G and 6-APA commenced, >INR1bn sales recorded in Q4FY26. Customers to resume offtake, which remained muted earlier due to

elevated imports in Q3FY26, a meaningful demand expected over the coming weeks.

- Production reached ~11,300 tonnes in March, ~10,800 tonnes in April.

Financials/others

- Ex-gRevlimid, FY26 revenue grew 9.5% YoY, while Q4FY26 ex-gRevlimid growth stood at 15.3% YoY in USD terms.
- Other expenses increased due to year-end provisions and higher power and fuel costs related to Pen-G operations. Likely to continue as consumption of in-house APIs replaces imports, leading to lower raw material costs and improved gross margins.
- **Eugia:** Unit I and Unit III await regulatory clearances.
- Domestic formulations business is expected to deliver double-digit growth in FY27E.
- **Net Capex Q4FY26:** USD82mn; **FY26:** USD341mn. Largely towards capacity expansion projects, plant enhancements and CDMO investments
- Net cash position improved to USD317mn as of Mar'26 versus USD276mn in Dec'25.
- Every 1% INR depreciation against USD positively impacts EBITDA by ~INR1bn, although benefit is offset by rising solvent and raw material costs.

Exhibit 1: SotP valuation

Particulars	
Aurobindo: 12M Sept-27 EPS	91
P/E multiple (x)	17
Aurobindo: Core business value/share	1,546
Adquey: NPV/share	41
Lannett: Value/share	93
Total value	1,680
CMP	1,450
Upside	16%

Source: Company, Nuvama Research

Exhibit 2: Segmental details (INR mn)

Year to March	Q4FY26	Q4FY25	YoY (%)	Q3FY26	QoQ (%)	Nuvama estimate	Deviation (%)
Total Formulations	76,460	73,130	4.6	76,830	-0.5	77,205	(1.0)
US	35,430	40,720	-13.0	37,390	-5.2	38,543	(8.1)
Europe	27,950	21,470	30.2	27,030	3.4	26,262	6.4
Growth Markets	9,800	7,860	24.7	8,650	13.3	8,717	12.4
ARV	3,280	3,080	6.5	3,760	-12.8	3,683	(10.9)
Total API	12,080	10,690	13.0	9,630	25.4	10,628	13.7
Betalactum	7,720	7,890	-2.2	6,860	12.5	7,622	1.3
Non Betalactum	4,360	2,800	55.7	2,770	57.4	3,006	45.1
Total gross sales	88,540	83,820	5.6	86,460	2.4	87,833	0.8

Source: Company, Nuvama Research

Exhibit 3: Actual versus estimates (INR mn)

Year to March	Q4FY26	Q4FY25	YoY (%)	Q3FY26	QoQ (%)	Nuvama estimate	Deviation (%)	Consensus estimate	Deviation (%)
Net revenues	88,533	83,821	5.6	86,459	2.4	88,643	(0.1)	87,542	1
Gross profit	54,243	49,542	9.5	51,647	5.0	52,831	2.7		
Gross margin (%)	61.3	59.1	217 bp	59.7	154 bp	59.6	167 bp		
Employee Expenses	13,740	11,626	18.2	13,101	4.9	13,370	2.8		
R&D	4,000	4,230	(5.4)	4,090	(2.2)	4,255	(6.0)		
Other expenses	18,494	15,767	17.3	16,723	10.6	17,108	8.1		
EBITDA	18,009	17,919	0.5	17,733	1.6	18,098	(0.5)	18,098	(0)
EBIDTA margin	20.3	21.4	-104 bp	20.5	-17 bp	20.4	-8 bp	20.7	
Net finance expense (income)	982	1,150	(14.6)	928	5.9	930	5.6		
Depreciation	4,786	4,444	7.7	4,647	3.0	4,650	2.9		
PBT	12,930	13,673	(5.4)	13,382	(3.4)	14,038	(7.9)		
Income tax expense	3,698	4,323	(14.5)	4,287	(13.8)	3,931	(5.9)		
Tax rate (%)	28.6	31.6	-302 bp	32.0	-345 bp	28.0	60 bp		
Profit adj for exceptionals	9,213	9,035	2	9,103	1	10,079	(8.6)	9,654	(4.6)
Reported Profit	9,213	9,035	2.0	9,103	1.2	10,079	(8.6)	9,654	(4.6)

Source: Company, Nuvama Research

Exhibit 4: Quarterly snapshot (INR mn)

Year to March	Q4FY26	Q4FY25	% change	Q3FY26	% change	FY26	FY27E	FY28E
Net Revenue	88,533	83,821	5.6	86,459	2.4	3,36,531	4,00,724	4,26,443
Cost of revenue	34,291	34,279	0.0	34,812	(1.5)	1,34,884	1,61,373	1,68,019
Gross profit	54,243	49,542	9.5	51,647	5.0	2,01,647	2,39,351	2,58,425
Employee cost	13,740	11,626	18.2	13,101	4.9	51,902	59,687	65,656
R&D	4,000	4,230	(5.4)	4,090	(2.2)	15,900	19,235	20,687
Other expenses	18,494	15,767	17.3	16,723	10.6	65,288	75,336	79,536
EBITDA	18,009	17,919	0.5	17,733	1.6	68,558	85,093	92,545
EBITDA margin (%)	20.3	21.4		20.5		20	21	22
Depreciation	4,786	4,444	7.7	4,647	3.0	17,782	20,619	23,018
EBIT	13,224	13,475	(1.9)	13,086	1.1	50,776	64,474	69,527
Less: Interest Expense	982	1,150	(14.6)	928	5.9	3,840	3,680	3,400
Add: Other income	689	1,348	(48.9)	1,876	(63.3)	4,921	6,371	6,267
Add: Exceptional items	0	0		653		-653	0	0
Profit before tax	12,930	13,673	(5.4)	13,382	(3.4)	51,204	67,165	72,394
Less: Provision for Tax	3,698	4,323	(14.5)	4,287	(13.8)	16,089	17,956	19,446
Less: Minority Interest	-20	-315	(93.6)	9	(333.7)	18	5	5
Add: Share of profit from associates						15	-116	-116
Reported Profit	9,213	9,035	2.0	9,103	1.2	35,148	49,098	52,837
Adjusted Profit	9,213	9,035	2.0	9,103	1.2	35,801	49,098	52,837
No. of Diluted shares outstanding	16	16		16		581	581	581
Adjusted Diluted EPS	580.8	580.8	0.0	553.8	4.9	61.6	84.5	91.0
as % of revenues								
Cost of revenue	38.7	40.9		40.3		40.1	40.3	39.4
Employee cost	15.5	13.9		15.2		15.4	14.9	15.4
R&D	4.5	5.0		4.7		4.7	4.8	4.9
Total operating expenses	79.7	78.6		79.5		79.6	78.8	78.3
Gross profit	61.3	59.1		59.7		59.9	59.7	60.6
Operating profit	14.9	16.1		15.1		15.1	16.1	16.3
Net profit	10.4	10.8		10.5		10.4	12.3	12.4
Tax rate	28.6	31.6		32.0		31.4	26.7	26.9

Source: Company, Nuvama Research

Company Description

Aurobindo Pharma (ARBP), unlike other major Indian pharma companies, is a pure generic player with export focus that has achieved scale primarily through acquisitions. In its drive to grow via consolidation and gain scale, company has been the most aggressive and also the most successful as company always focused on value. Its aggressive inorganic strategy is much like its global peers, and its strength lies in its execution. Company's future investments are mainly in injectables and now it has started investing meaningfully in biosimilars.

Investment Theme

ARBP has followed a strategy of acquiring portfolios & technologies and bolstering offerings. It is on the cusp of filing transdermals, biosimilars, nasals, inhalers and depot injections. While promising, it also involves high R&D investments that are likely to push R&D to 6% of sales and also increase execution risks vis-a-vis generics. However, gRevlimid settlement offers cushion to the high risk business given that this opportunity will be there for at least 3 years. In the medium term, pipeline of 170 pending ANDAs, its 50 annual launches and injectable capacity expansion should translate to mid-to-high single-digit growth. API expansion, the PLI scheme and contract manufacturing opportunity in biologics CDMO promise long-term growth. Additionally the company has recently acquired business of Lannett, which may offer growth opportunity in the US.

Key Risks

- Higher US pricing pressure and potential tariffs by US administration on foreign manufacturers.
- Slowdown in ANDA approvals and USFDA related regulatory risks are part of the generics business.
- Failure to ramp-up utilization at Pen-G and China manufacturing facility.
- Failure to complete acquisition of Lannett.

Additional Data

Management

Vice Chairman and MD	Mr. K Nithyananda Reddy
CFO	S. Subramanian
Whole-time Director	Mr. M.Madan Mohan Reddy
Auditor	B S R & Associates LLP

Holdings – Top 10*

	% Holding		% Holding
Quant	4.74	Vanguard	2.07
HDFC AMC	3.22	SBI Pension	1.94
Axis Clinicals	2.97	SBI Funds	1.84
LIC	2.91	Blackrock	1.74
ICICI Pru MAC	2.85	Mirae Asset	1.22

*Latest public data

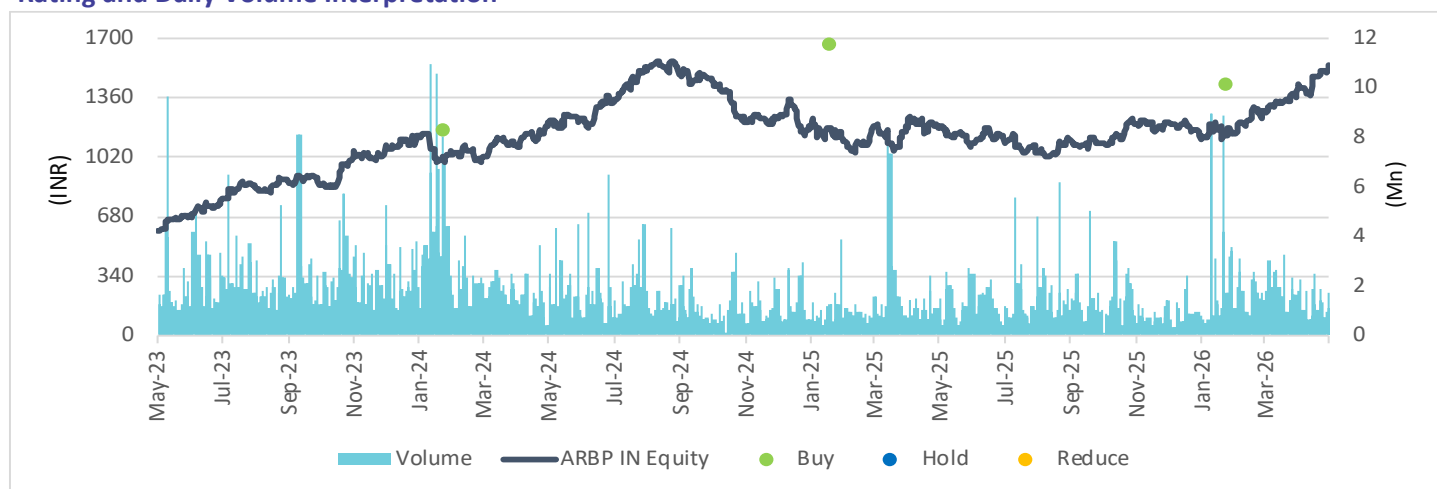
Recent Company Research

Date	Title	Price	Reco
26-Feb-26	Novel drug foray with Adquey approval; <i>Company Update</i>	1,220	Buy
12-Feb-26	Pen-G to drive FY27 performance; <i>Result Update</i>	1,157	Buy
06-Nov-25	US core steady; Pen-G MIP awaited; <i>Result Update</i>	1,140	Buy

Recent Sector Research

Date	Name of Co./Sector	Title
19-May-26	Zydus Lifesciences	Asserting growth through specialty asset; <i>Result Update</i>
13-May-26	Cipla	Weak quarter; improved outlook ; <i>Result Update</i>
12-May-26	Neuland Laboratories	Fired on all fronts; record high EBITDA; <i>Result Update</i>

Rating and Daily Volume Interpretation



Source: Bloomberg, Nuvama research

Rating Rationale & Distribution: Nuvama Research

Rating	Expected absolute returns over 12 months	Rating Distribution
Buy	15%	222
Hold	<15% and >-5%	61
Reduce	<-5%	34

Market Cap Distribution

Nuvama Coverage Companies	Numbers
Large Cap	84
Mid Cap	84
Small Cap	149

We cover around 76% of Market Cap of NSE 500

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Abneesh Roy

Head of Research Committee

Abneesh.Roy@nuvama.com
